

PORTUGAL

2012

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1. Overview of the tax-benefit system

Portugal has an insurance-based unemployment benefit system with duration related to age and contributory career. An unemployment assistance system exists and is related to the employment history and economic resources of the recipient. Childcare benefits are made to the provider of childcare and not to the parents or children that attend it. There are no provisions for lone parents, though positive discrimination exists in a comprehensive set of measures. The tax unit is the family.

1.1. Average Worker wage (AW)

The national currency is the euro (EUR). In 2012, the Secretariat has estimated the average worker earned EUR 15 720.

2. Unemployment insurance

2.1 Conditions for receipt

Unemployment insurance (UI) is compulsory for employees and some categories of self-employed, such as economically dependent self-employed (receiving 80% or more of earnings from a single firm or firms belonging to the entrepreneurship group). Claimants must be in a situation of involuntary

unemployment, have to be capable and available for employment and have to be registered at the employment office.

Unemployment is regarded as involuntary whenever the end of the work contract is due to:

- Unilateral decision by the employer;
- Work contract expiration not determined by pension;
- Contract rescission by the employee with just cause (as long as the employer places no arguments against or placing them the employee proves to have set a legal action against the employer);
- Mutual agreement between employer and employee in the case of companies in situations, such as process of structural re-adaptation or recovery or any other situation that allow for collective dismissal of employees;
- The self-employed loses the contract with the firm or group of firms responsible for at least his/her 80% of earnings.

Invalidity pensioners that are considered as apt to work as a result of a re-assessment of their incapability are also regarded as involuntary unemployed individuals.

2.1.1 *Employment conditions*

Employment condition for UI eligibility is 360 days of employment record in the last 24 months before unemployment (changed in April, previously 450 days). Eligibility is dependent on the involuntary of the unemployment status. Entitlement for the self-employed requires at least 720 days consecutive of professional activity with social security contributions in the last 2 years prior to the end of the contract.

2.1.2 *Contribution conditions*

The contribution condition coincides with the employment condition.

For the economically dependent self-employed it is required that the hiring entity/entities have made the social contributions payments for at least 2 years, one of which must be the last year prior to the end of the contract.

2.2 *Calculation of benefit amount*

2.2.1 *Calculation of gross benefit*

The benefit amounts to 65 per cent of the average salary during the 12 months period ending 2 months before unemployment. This calculation takes into account the annual vacation bonus and the Christmas bonus due in the reference period. The maximum benefit amount is the minor value between 2.5 times the IAS (Indexante dos Apoios Sociais – Social Support Index; changed in April 2012, previously 3 times the IAS) or 75% of net reference remuneration; the minimum amount is the amount of the IAS or of the

average remuneration (also referred to as reference remuneration), whichever is lower. The IAS amount in 2012 was EUR 419.22 per month. The unemployment benefit is paid on a monthly basis.

From 1st April onwards new beneficiaries of the unemployment insurance will face a reduction of the unemployment subsidy amount of 10%

2.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

The unemployment insurance benefit may be accumulated with part-time work or self-employment if the earnings from work are inferior to the UI amount. In these situations the UI benefit is equal to the difference between 1.35 times the unemployment benefit and the value of part-time work or self-employment earnings. UI cannot be accumulated with pensions of any kind.

The social agreement settled in January 2012, introduces a new policy for the accumulation of unemployment benefits will cover the following principles:

- The employer must pay the wages set under collective bargaining and the law;
- In certain cases, the unemployed worker who accepts a job offer whose remuneration is lower than its provision of unemployment benefits shall be entitled to the following benefits that encourage the acceptance of the work position, including:
 - i. 50% of unemployment benefits during the first six months, in compliance with certain limits;
 - ii. 25% of unemployment benefits in the following six months, in compliance with certain limits;
- The maximum duration of the policy for accumulation is 12 months;
- The work provided under this measure does not preclude the possibility of the beneficiary resuming unemployment benefits in case of termination, and the period of work performed with accumulation discounted within the general period in which the unemployment benefits are granted;
- This will not lead to a change in the concept of convenient employment

2.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable. From 1st January 2013 a special social contribution of 6% will be applied to the unemployment insurance benefits, with the exception of beneficiaries entitled to a top-up amount (see unemployed couple with dependent children and lone-parent below) .

During the period of subsidized unemployment (UI) a full-time working social contribution equivalent is registered for pension entitlement and accrual purpose. This means that during subsidized unemployment, individuals do not interrupt their contributory career and the reference earnings are registered as if actual wages were being received.

Unemployment insurance benefit is suspended whenever there is recognition of entitlement to the following benefits: benefit for medical risk during pregnancy; benefit for pregnancy interruption; initial parental benefit; initial parental benefit exclusive of the father; initial parental benefit exclusive of the mother; initial parental benefit assigned to a parent in case of the other parent impossibility; adoption benefit.

Those entitled to partial unemployment insurance benefit who are not covered by the benefits exposed above but are incapable to work due to sickness, childbirth or adoption have the right to receive the unemployment insurance benefit during the period of incapacity or impossibility to work.

2.4 *Benefit duration and waiting periods*

There is no waiting period. Duration increases with age and contributory record after the last subsidized unemployment spell according to the following table (in force since 1st April 2012):

Age	Contributory career	Duration (days)	Extended duration
<30	≤15 months	150	30 days for each group of 5 years of contributory record in the last 20 years-
	≥15 and <24 months	210	
	≥24 months	330	
30 – 39	≤15 months	180	30 days for each group of 5 years of contributory record in the last 20 years
	≥15 and <24 months	330	
	≥24 months		
40 – 49	≤15 months	210	45 days for each group of 5 years of contributory record in the last 20 years
	≥15 and <24 months	360	
	≥60 months	540	
≥50	≤15 months	270	60 days for each group of 5 years of contributory record in the last 20 years
	≥15 and <24 months	480	
	≥24 months	540	

If the individual doesn't use the extended duration that he/she is entitled to because he resumes work previously, the contributory career that wasn't used may be taken into consideration for the extended duration in the next unemployment spell.

There is no special condition for re-applying for UI, as eligibility is regained only by fulfilling a new period of 360 days of work with registered social contributions.

From April 2012 onwards for new beneficiaries the maximum concession period will now be of 540 days, safeguarding the acquired rights of beneficiaries. It is also foreseen the possibility of exceeding the period of 540 days, depending on the age of the beneficiary and the number of months with registered wages in the period immediately preceding the date of unemployment, namely through an additional period for longer contributory career.

The process of reduction of the concession periods of unemployment benefits for current active employees, bearing in mind the following rules:

- i) Workers who benefit from an allowance period longer than that foreseen in previous paragraph maintain all the rights they now enjoy;
- ii) The workers entitled to an allowance period shorter than that foreseen in previous paragraph will progress up to the limits thereby specified.

2.5 Treatment of particular groups

2.5.1 Young persons

In the situation of offering an open-ended contract to workers in search of the first job there is a temporary exemption concerning the employers' contribution to social security. This exemption has a maximum duration of 36 months.

2.5.2 Older workers

As presented in point 2.4, the UI duration increases with age.

Older workers on long-term unemployment have special conditions to access Old Age Pension. After exhausting the UI or the IUSA (see point 3):

- a 57 year old or older unemployed can apply for early retirement if he/she was 52 years old or more when became unemployed and he/she had at least 22 years of registered earnings when entered unemployment. In these cases the statutory pension amount is reduced by a factor of 0,5% by each month of anticipation until the age of 62.
- Early retirement is also possible if the long-term unemployed is aged 62 or older, was aged 57 or older when he/she became unemployed and has at least 15 years of registered earnings.

If unemployment is due to contract rescission by mutual agreement, the anticipated old-age pension has an additional reduction $[(1-(n * 3\%))$, in which n is the number of years of anticipation between 62 and 65 years old] which is revoked when the pensioner reaches the age of 65.

2.5.3 Others if applicable

Parent workers with resident dependent children

Unemployed couples/lone parent with dependent children are entitled to an increase of 10% in the amount of UI:

- a) If both members of a couple with dependent children receive unemployment insurance
- b) If lone parent receive employment insurance and there's no right to alimony legally set by the Court.

Long-term unemployed

In the situation of offering an open-ended contract to long-term unemployed there is a temporary exemption concerning the employers' contribution to social security. This exemption has a maximum duration of 36 months.

3. Unemployment assistance

The Unemployment Social Allowance (USA) is flat-amount benefit aimed at protecting the unemployed individuals in two situations. Firstly, recently unemployed persons that do not fulfil the eligibility condition necessary to access UI may be entitled to the Initial Unemployment Social Allowance (IUSA). Secondly, unemployed individuals that exhausted the maximum duration of UI may be entitled to the Subsequent Unemployment Social Allowance (SUSA).

USA duration is related to age of the claimant (see 3.4).

3.1 Conditions for receipt

For receiving the initial Unemployment Social Allowance (USA), claimants have to be between 18 and 65 years of age and have to be registered unemployed looking for work and available for work. Additionally, the Unemployment Social Allowance may be renewed until the age of pensionable age anticipation is reached, provided that: i) when unemployment begins the insured person is aged 52 or over; ii) by the time of its renewal the insured person continues to meet the qualifying conditions for the Unemployment Social Allowance.

The USA entitlement is a means-tested benefit, as the monthly income *per capita* of the claimant's household cannot exceed 80% of IAS. The monthly income *per capita* results from the sum of all monthly household income divided by adult-equivalent household dimension Modified OECD Equivalence Scale (First adult = 1; Other adults = 0.5; Child(ren) = 0.3; please note that children are here considered to be everybody under 18 years old).

If the beneficiary's household has real estate ownership those assets are also considered for the reference income. The household own house (for residential purposes) is not considered up to a maximum €188,649.00 (450 times the IAS). If the tax evaluation of the own house is above that threshold, 5% of the difference is considered. For the remaining house(s) the bigger of the following amounts is considered: i) rent revenues, ii) 5% of tax evaluation of the real estate.

The reference income includes interest revenue from assets, such as bank accounts, shares, investment funds, etc. and 5% of its nominal value is also considered as income. If the household own assets (Bank accounts, shares, investment funds, etc.) worth more than €100,612.80 (240 times the value of the IAS) there is no entitlement for SII.

The USA entitlement is dependent on the continuous involuntary nature of unemployment status. The job-search conditions for becoming and remaining entitled to the USA are similar to the ones applied to the UI (see 2.1 and 12.1).

3.1.1 Employment conditions

The employment conditions for entitlement to USA are: to have had an employment with work contract, to have become unemployed unwillingly and to be registered at the Local Employment Centre. In

addition, this benefit is means tested, which means that the beneficiary must prove that the household earns less than 80 percent of IAS per capita (see previous point).

Additionally, the claimant cannot have any dependent work and cannot earn monthly more than 50% IAS from self-employment.

3.1.2 *Contribution conditions*

The claimant must have worked as an employee with registered social contributions for 180 days in the year previous to unemployment.

3.2 *Calculation of benefit amount*

3.2.1 *Calculation of gross benefit*

Benefit amounts per month are linked to the IAS and depend on family type. The amount is the lower of two values: i) the net reference income and ii) the respective value presented on the table below:

Family type	In % of IAS	
	After UI benefit	Not eligible for UI
Single	80	80
With an aggregate	100	100

3.2.1.1 *Irregular additional payments* **[NEW ITEM]**

3.2.1.2 *Obligations of family members* **[NEW ITEM]**

3.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

The claimant cannot have earning from work (with the exception mentioned on point 3.1.1) and/or pensions.

3.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable. For pension entitlements, the reference earnings are registered as if actual wages in the case of Initial USA while the previous amount of UI is registered in the case of Subsequent USA.

3.4 *Benefit duration and waiting periods*

Regarding the beneficiaries of the initial Unemployment Social Allowance the duration is identical to point 2.4. Concerning the sequential Unemployment Social Allowance the duration is reduced to half the

duration indicated in point 2.4. As to Unemployment Social Allowance to be paid subsequently its duration may be extended until the age of anticipated pension is reached (as stated under 3.1 above).

3.5 Treatment of particular groups

3.5.1 Young persons

Similar to point 2.5.1

3.5.2 Older workers

Similar to point 2.5.2 – The Unemployment Social Allowance duration can be extended until the retirement age if the beneficiaries are at least 52 years old at the moment of unemployment and fulfill, at the time of the extension, all the conditions necessary to receive this benefit.

3.5.3 Others if applicable

Parent workers with resident dependent children

4. Social assistance

The Social Insertion Income (formerly Minimum Guaranteed Income) is focused to support individuals or families in situations of great economic need. The Social Insertion Income (SII) is both a benefit, part of the Social Welfare sub-system of the Public Social Security System, and an insertion programme, with an aim to provide individuals and their households with the means tailored to satisfy their basic needs and allow for a progressive insertion in the labour market, the community and society.

4.1 Conditions for receipt

For entitlement it is required legal residency in Portugal, the subscription and fulfilment of the Insertion Programme established, to provide evidence for the situation of great economic need and to have at least 18 years of age. There are exceptions to the age condition: if there are dependant minors or in case the entitled individual is pregnant. The benefit maximum amount and eligibility threshold are indexed to IAS. The indexation factor is 45.208 % in 2012 (EUR 189.52)

Great economic need is recognized in the following situations:

- Individuals whose income is inferior to EUR 189.52 per month in 2012.
- Households whose income is inferior to the sum of the following amounts:
 - a) 100% of the EUR 189.52 for the first adult;
 - b) 50% of the EUR 189.52 for each other adult;
 - c) 30% of the EUR 189.52 for each minor.
- The claimant and household members, at the time he submits the application, cannot own assets (Bank accounts, shares, investment funds, etc.) worth more than €25,153.20 (it corresponds to 60 times the value of the IAS);

For SII purposes the calculation of the household income results from the sum of all the income sources (gross income) in the month previous to the requirement (or the average of the 3 months previous

to the requirement in case of independent workers or workers with variable wages), excluding the housing subsidy, family benefits and scholarships. In addition only 80% of labour income after deduction of the contributions to social security is considered to that purpose.

Beginning on the 1st of April the SII has a new equivalence scale for means-test purposes: 100% - 1 adult, 50% - other adults and 30% - children). Also on this date a more comprehensive definition of household composition and reference income was implemented. Accordingly the following income is taken into account:

- ✓ gross income from work earnings (as employees and/or as self-employed)
- ✓ gross income from capital
- ✓ gross income from property
- ✓ income from pensions
- ✓ income from social benefits
- ✓ regular housing benefits
- ✓ scholarships and training grants

If the household benefits from social housing, the household income is accrued by:

- €15.45 on the first year of SII;
- €30.91 on the first annual renewal of SII ;
- €46.36 from the second annual renewal onwards.

If the household has real estate ownership those assets are also considered for the reference income. The household own house (for residential purposes) is not considered up to a maximum €188,649.00 (450 times the IAS). If the tax evaluation of the own house is above that threshold, 5% of the difference is considered. For the remaining house(s) the bigger of the following amounts is considered: i) rent revenues, ii) 5% of tax evaluation of the real estate.

The reference income includes interest revenue from assets, such as bank accounts, shares, investment funds, etc. and 5% of its nominal value is also considered as income. If the household own assets (Bank accounts, shares, investment funds, etc.) worth more than €100,612.80 (240 times the value of the IAS) there is no entitlement for SII.

The value of the IAS will change each year according to a set of pre-established rules (for example: the IAS will increase in line with the consumer price index if real GDP growth is less than 2%, or higher than consumer price index if GDP growth is equal or higher than 2%). However this rule was not applied exceptionally in 2010, 2011 and 2012.

If an individual becomes voluntarily unemployed he/she can only claim the Social Insertion Income entitlement after one year of unemployment.

4.2 Calculation of benefit amount

4.2.1 Calculation of gross benefit

The amount of the benefit equals the difference between the individuals/household income and the amount of the SII, calculated according the rules above described..

4.2.1.1 Irregular additional payments

4.2.1.2 Obligations of family members

The Insertion Programme must be established no later than 60 days after granting the benefit of social integration income (SII). SII payment ends if individuals do not accomplish the insertion program.

If an adult household member other than the entitled person does not comply with the labour insertion program (or insertion programme), that person will be excluded from the household composition for the purpose of determining the “household adult equivalent dimension”, but all income or earnings received by that family member will still be considered for the means test.

If the entitled person or beneficiary of the SII refuses, without a valid justification, the actions or measures of the insertion programme such as the offer of convenient work, socially necessary work or professional formation will determine the end of the benefit for that person.

When addressing family situation for eligibility for Social Insertion Income there are some situations where an inactive situation of an adult member may not be considered as non-compliance with job-search obligations, namely due to health issues or family responsibilities (assistance to a third family member with special needs), both certified by a medical authority. So, on the one hand, if in an initial situation the inactive status of a second adult member is accepted as necessary that person is considered as a beneficiary with no changes in the calculations. On the other hand, if there is a job-search program signed by that second adult and there is non-compliance behaviour, then changes in the benefit amount do occur. This case is used in the model.

4.2.2 *Income and earnings disregards for benefit recipients and those starting a new job*

Only 80% of labour income after deduction of the contributions to social security is considered for the calculation of the benefit amount.

If the entitled individual or a member of his/her family starts a new job during the receipt of the SII, only 50% of that job income obtained in the first 12 months of work is considered for the calculation of the SII benefit amount after deduction of contributions to social security. In both cases, holiday and Christmas bonus must be considered in terms of SII calculation.

If the entitled individual or a member of his/her family develop occupational activities of social interest in employment programs, 80% of the allowance received are treated as income from work and considered for the calculation of the benefit amount.

4.3 *Tax treatment of benefit and interaction with other benefits*

Not taxable.

4.4 *Benefit duration and waiting periods*

Starting from the July the eligibility to this benefit ceases to be automatic, as a reassessment of eligibility conditions is made during the month of renewal.

4.5 *Treatment of particular group*

4.5.1 *Young persons*

4.5.2 *Older workers*

4.5.3 *Others if applicable*

5. **Housing benefits for rented accommodation**

Regarding housing benefits, the State supports directly families through three ways: i) the rent subsidy – aimed at the most economical needed households whose housing has been submitted to an extraordinary actualization; ii) the young adults rent incentive; iii) the supported rent regime – social renting of houses built/owned by the State.

In 1985, the DL 46/85 established the possibility of unfreezing the rent actualization, by prescribing a principle of annual actualization of all rents, according to the values determined in an annual legal diploma and allowing the extraordinary correction of the rents frozen before 1980.

The rent subsidy can be divided in three categories: the General Regime, the Special Subsidy for Handicapped Renters (for renters with incapability equal or superior to 60%) and the Special Needs Subsidy (renters receiving one of the fore mentioned subsidies whose economic situation has experienced severe and sudden deterioration in terms of household income, namely due to unemployment or death of family earner).

A special program of Real Estate Investment Funds for Rental Purpose was introduced in 2009 for people with house credit who can't afford the mortgage. Tenants have the option right to re-buy the house, until 31 of December of 2020. Additionally, a temporary support was introduced in 2009 to unemployed people giving them the right to reduce temporarily (maximum of 24 months) the costs of housing mortgage by 50%. At the end individuals must support the whole cost of credit.

5.1 ***Conditions for receipt***

The eligibility is granted to renters who suffered an extraordinary correction of the rent value, as long as the household income and rents respect the limits set in an annually published table.

5.2 ***Calculation of benefit amount***

The calculation framework in the general regime is based on the rent value, the monthly gross income and the household dimension. The model establishes an equivalence between the income of households with different dimensions, calculating a standard reference income according to the average dimension of the families.

The process to compute the subsidy amount is based in the methodology used to determine annually the maximum limit for rent – which corresponds to the maximum of rent that can be subsidized, according to each household dimension – and also in a function that establishes the effort rate for each level of income.

Standard Income

The household standard income is calculated as follows:

Standard income = [2,40 / f(n)] x monthly gross income

f (n) is the equivalence factor regarding the income of household with different dimensions, according to the table below. The figure 2.4 is the f(n) value which corresponds to the average Portuguese household.

Household dimension (number of individuals)	f(n)
1	1
2	1.75
3	2.4
4	3
5	3.575
6	4.11
7	4.62
8	5.12
9	5.625
10	6.1

Maximum rent limit

The maximum rent limit is determined according to the suitability of the house regarding the household dimension, the rent rate and the housing prices by square meter of useful area. These parameters are legally defined.

The limits for 2010 are as follows:

Household dimension (number of individuals)	Rent Limit (Euro)
1	103,86
2	144,26
3	167,34

4	187,53
5	210,62
6	225,04
7	236,58
8	259,66
9	285,63
10	302,94

Base Rent

The base rent is computed by applying a percentage to the gross monthly income of the household, as described by the following formula:

$$p = 10 \times R_p / NMW$$

R_p represents the standard income; p represents the percentage.

5.2.1 *Calculation of gross benefit*

The benefit is calculated as follows:

a) if the rent is superior to the rent limit:

$$S = 0,5 \times (R_l - R_b)$$

b) if the rent is equal or inferior to the rent limit:

$$S = 0,5[1 + [(R_l - R) / (R_l - R_b)] \times (R - R_b)]$$

R stands for rent; R_l stands for rent limit; R_b stands for base rent and S stands for subsidy.

5.2.2 *Income and earnings disregards*

The beneficiary loses entitlement whether:

- a) The standard income is superior to three times the NMW;
- b) The base rent is superior to the rent limit;
- c) The rent is inferior to the base rent.

5.2.3 *Costs eligible for housing benefits*

5.3 ***Tax treatment of benefit and interaction with other benefits***

5.4 ***Treatment of particular groups***

5.4.1 *Young persons*

5.4.2 *Older workers*

5.4.3 *Others if applicable*

6. **Family benefits**

6.1 ***Conditions for receipt***

Requirements for entitlement: national or foreign, refugees or stateless children resident in Portugal; with no professional occupation; whose household has reference earnings below the maximum income level; and until the following ages:

- 16 years old;
- Or to the maximum of 24 years of age if enrolled in the school, university, professional training or other training periods, or in case of handicapped children receiving social benefits (this limit may be extended for 3 years in case of accident or disease hampering the school performance of the beneficiary);

6.2 ***Calculation of benefit amount***

6.2.1 *Calculation of gross benefit*

Benefits are paid based on age and income. There are two age groups for dependent children: children aged up to 12 months and children older than 12 months. There are also 4 levels of reference income (related to the IAS). The benefit is paid on a monthly basis.

The reference income comprises the sum of all income from each member of the household divided by the number of children of that household that benefit from the family allowance plus 1. The following sources of income are considered:

- Income from work (employee);
- Professional and business income;
- Capital income (and wealth);
- Land and real estate income (and wealth);

- Pensions;
- Any other social benefits that aim to replace the lost income from work granted by the Solidarity or Insurance Subsystem.

This sum is then divided by the number of children in the family, plus one. The reference income includes interest revenue from assets, such as bank accounts, shares, investment funds, etc. and 5% of its nominal value is also considered as income. If the household own assets (Bank accounts, shares, investment funds, etc.) worth more than €100,6123.80 (240 times the value of the IAS) there is no entitlement for family benefits (or other means-test benefits).

If the household benefits from social housing, then the difference between the technical price and the supported rent price is also considered as income. If the household has real estate ownership, these assets are also considered for the reference income: the household own house (for residential purposes) is not considered up to a maximum €188,649.00 (450 times the IAS); if the tax evaluation of the own house is above that threshold, 5% of the difference is considered; for the remaining house(s) the bigger of the following amounts is considered: i) rent revenues, ii) 5% of tax evaluation of the real estate.

Income Level	Reference income related to the IAS
First	$\leq 0,5$ IAS
Second	$> 0,5$ IAS to ≤ 1 IAS
Third	> 1 IAS to $\leq 1,5$ IAS
Fourth	$> 1,5$ IAS

- Level 1: Families whose reference income is under 50 per cent of 14 times the reference value (i.e. under EUR 2 934.54);
- Level 2: Families whose reference income is over 50 per cent and under 100 per cent of 14 times the reference value(i.e. over EUR 2 934.54 and under EUR 5 869.08);
- Level 3: Families whose reference income is over 100 per cent and under 150 per cent of 14 times the reference value (i.e. over EUR 5 869.08 and under EUR 8 803.62);
- Level 4: Families whose reference income is over 150 per cent of 14 times the reference value (i.e. over EUR 8 803.62);

The family allowance is paid on a monthly basis. An additional monthly amount is payable in September to families on the first income level to compensate for the costs of education with the children and young people provided that they are aged between 6 and 16 years and are enrolled in school.

The monthly amounts (Euros) per child in 2012 were (see also the table on 6.4.1):

Income level	Age ≤ 12 months	Age > 12 months
First	€140.76	€35.19
Second	€116.74	€29.19
Third	€92.29	€26.54
Fourth	€0	€0

6.2.1.1 Irregular additional payments

6.2.2 Income and earnings disregards

The beneficiaries (children) of the family allowance can't accumulate these allowances with earned income.

6.3 Tax treatment of benefit and interaction with other benefits

Not taxable.

6.4 Treatment of particular groups

6.4.1 Young persons

Children aged between 12 months and 36 months (inclusive) are entitled to double the Family Allowance amount if living in families with 2 children or to triple the Family Allowance amount if living in families with 3 or more children.

		Income level			
		First	Second	Third	Fourth
Each child < 12 months		€140.76	€116.74	€92.29	€0
Each child between 12 and 36 months	Families with 1 child	€35.19	€29.19	€26.54	€0
	Families with 2 children	€70.38	€58.38	€53.08	€0
	Families with 3 or more children	€105.57	€87.57	€79.62	€0
Each child >36 months		€35.19	€29.19	€26.54	€0

6.4.2 Older workers

6.4.3 Others if applicable

Pregnant women are entitled to pre-birth family benefit from the 13th week onwards.

Pre-birth allowance		Income level			
		First	Second	Third	Fourth
Pregnant mother (expecting)	1 Baby	€140.76	€116.74	€92.29	€0
	Twins	€281.52	€233.48	€184.58	€0
	3 Babies	€422.28	€350.22	€276.87	€0

Lone-parent families are entitled to an increase of 20% on the family allowance in the following conditions:

- children and young persons living with only one relative or in-laws in a direct line or collateral line until the second degree or equivalent and
- pregnant women (from the 13th week of pregnancy onwards) entitled to pre-natal family benefit and living alone or living only with children and young persons entitled to family benefit.

The table below shows the amounts for a lone-parent family:

Lone-parent family		Income level			
		First	Second	Third	Fourth
Each child < 12 months		€168.91	€140.09	€110.75	€0
Each child between 12 and 36 months	Families with 1 child	€42.23	€35.03	€31.85	€0
	Families with 2 children	€84.46	€70.06	€63.70	€0
	Families with 3 or more children	€126.68	€105.09	€95.54	€0
Each child >36 months		€42.23	€35.03	€31.85	€0

The table below shows the amounts for pre-birth allowance for a lone-parent family during pregnancy:

Pre-birth allowance lone-parent family		Income level			
		First	Second	Third	Fourth
Pregnant living sole	1 Baby	€168.91	€140.09	€110.75	€0
	Twins	€337.82	€280.18	€221.50	€0
	3 Babies	€506.73	€420.27	€332.25	€0

The family allowance may be increased in case the child is handicapped.

- Eligibility conditions the children: to be handicapped and less than 24 years old and:
 - Be enrolled or qualify for enrolment in a specialized rehabilitation equipment, or;
 - In need of personalized medical or educational support.

The amount added to the family allowance varies according to the age of the child. If the handicapped child lives in a Lone-parent family, these amounts are accrued by 20%. These are paid on a monthly basis.

Additional monthly amounts (in Euros)

Handicapped child	2012	2012 Lone parent families

Reference date for all information is July 1st 2012

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

Until 14 years of age	€59.48	€71.38
From 14 until 18 years of age	€86.62	€103.94
From 18 to 24 years of age	€115.96	€139.15

Students under 18 years old enrolled in upper secondary school who benefit from the 1st or 2nd income level of family allowance are also entitled to a scholarship in the amount of two times the value of the family allowance. Starting from January 2011, this scholarship amount is equal to the value of the family allowance.

Additional monthly amounts (in Euros)

Scholarships	2012
1st Income level	€35.19
2nd Income level	€29.92

6.4.4. Parental Leave Scheme

Parents with registered remuneration in the compulsory social insurance scheme are entitled to receive parental leave benefits (Protecção Social na Parentalidade). In specific situations, workers without compulsory social insurance who pay the voluntary social insurance (Seguro Social Voluntário) are also entitled to these benefits (for instance, scientific research fellows).

The parental leave scheme includes the following situations:

- Medical risk during pregnancy
- Pregnancy interruption
- Parenting
- Adoption
- Specific risks
- Child assistance in case of illness or accident
- Disabled or chronically ill child assistance
- Grandchild assistance

Each one of these situations corresponds to one or more benefits as described in the next table:

Parental Leave Scheme Benefits		Daily amount (% of the reference income) ⁽¹⁾ and Duration	
Benefit for medical risk during pregnancy		100% - without limit of time since medically certified	
Benefit for pregnancy interruption		100% from 14 to 30 days	
Parenting or Adoption	Parental benefit or Adoption benefit ⁽²⁾	<i>Parents don't share the leave</i>	<i>Parents share the leave</i>
	i) Initial parental benefit ⁽³⁾	100% in case of 120 days	100% in case of 150 days (120 + 30)
		80% in case of 150 days	83% in case of 180 days (150 + 30)
	ii) Initial parental benefit exclusive of the mother	100% - 30 days of optional leave before birth and 6 weeks (42 days) of compulsory leave after birth.	
	iii) Initial parental benefit exclusive of the father	100% - 10 days of compulsory leave (5 immediately after birth plus 5 in the first 30 days) plus 10 day of optional leave.	
	Extended parental benefit or Extended adoption benefit	25% - 3 months for each parent of untransferable leave (maximum 6 months)	
Specific risks benefit		65% - for the time considered necessary during pregnancy and/or breastfeeding if women work at night or are exposed to professional risk(s).	
Child assistance in case of illness or accident benefit		65% - maximum of 30 days/year if the child has less than 2 years or 15 days if the child has more than 12 years	
Disabled or chronically ill child assistance benefit		65% (maximum of 2 times the amount of IAS/month) - 6 months (maximum) with extension possibility until 4 years	
Grandchild assistance benefit			
	i) Grandchild birth assistance ⁽⁴⁾	100% - 30 days of leave after the grandchild birth	
	ii) Grandchild assistance	65% - remaining days not used by parents under the child assistance benefit (maximum of 30 days/year). If the grandchild suffers from disability or chronicle disease child age limit is not applied.	

Notes: (1) Christmas and holidays not allowances included. Minimum amount equals 80% of 1/30 of the IAS.

(2) The same rules applies also to the Initial Parental Benefit in the event of one of the parents being prevented from taking the leave (by death or physical or mental incapacity of one of the parents).

(3) Duration includes exclusive parental leave of the mother and of the father.

(4) Grandchild birth assistance is valid just if grandparent's child has less than 16 years and lives in the same household.

6.4.4.1. Conditions for receipt

Eligibility is granted to employees and self-employed residing in Portugal with at least 6 months (consecutive or not) of compulsory contributory record for the general social security scheme.

6.4.4.2 Calculation of benefit amount

The daily amount of benefits is paid according to the reference income of the beneficiary in the 6 months of registered earnings before the fact (birth), calculated as follows: $R/180$ in which R corresponds to the total amount of income received during the first 6 months of the last 8 months prior to the birth and 180 to the number of available days in 6 months.

However, if the beneficiary does not have 6 months of registered earnings before the fact, the daily amount of benefits are calculated as follows: $R/(30 \times n)$ in which R equals the total amount of income received and n equals the number of months.

The minimum amount of these benefits cannot be less than 80% of 1/30 of the IAS nor it can be less than 40% of 1/30 of the IAS in case of extended parental benefit.

6.4.4.3 Tax treatment of benefit and interaction with other benefits

Not taxable.

During the period of subsidized parental leave and associated benefits a full-time social contribution equivalent is registered for pension entitlement. Beneficiaries do not interrupt their contributory career and the reference earnings are registered as if actual full-time wages were being received.

Parental leave scheme benefits cannot be accumulated with unemployment benefits and other social benefits with the exception of Disability, Old Age and Survivor's Pension, Social Insertion Income and Solidarity Supplement for the Elderly. During the social parental benefit/social adoption benefit the unemployed insurance is suspended until the term of these benefits.

In case of illness those entitled to parental leave, extended parental leave, adoption, disabled or chronically ill child assistance have the right to suspend the benefit.

6.4.5. Social Parental Benefits

Parents without the necessary contributory career and in a situation of economic hardship are protected by the new social parental protection scheme. The benefit, introduced for the first time in 2008, institutionalizes the right of almost all parents to a means-tested parental protection scheme independently of their working condition.

The social parental benefits include the following situations:

- Social benefit for medical risk during pregnancy
- Social benefit for pregnancy interruption
- Social parental benefit

- Social benefit for adoption
- Social benefit for specific risks

Each one of these situations corresponds to one or more benefits as described in the next table:

Social Parental Benefits	Daily amount (% of 1/30 of the IAS) and Duration	
Social benefit for medical risk during pregnancy	80% as long as necessary since medically certified	
Social benefit for pregnancy interruption	80% from 14 up to 30 days	
Social Parental Benefit or Adoption Benefit ⁽¹⁾	<i>If parents don't share leave</i>	<i>If parents share leave</i>
i) Initial social parental benefit ⁽²⁾	80% in case of 120 days 64% in case of 150 days	80% in case of 150 days (120 + 30) or (120 + 15 + 15) 66% in case of 180 days (150 + 30) or (150 + 15 + 15)
ii) Initial social parental benefit exclusive of the mother	80% during 30 optional days before birth and 6 compulsory weeks, 42 days, after birth.	
iii) Initial social parental benefit exclusive of the father	80% during 10 compulsory days (5 immediately after birth plus 5 in the first 30 days) plus 10 optional days	
Social Specific Risks Benefit	80% as long as necessary during pregnancy or breastfeeding for women who work at night or who are exposed to professional risks.	

Notes: (1) The same rules applies also to the Initial Parental Benefit in the event of one of the parents being prevented from taking the leave

(2) Duration includes exclusive social parental leave of the mother and of the father.

6.4.5.1 Conditions for receipt

Citizens residing in Portugal in a situation of economic hardship (including foreigners, refugees and stateless persons) and, as a consequence of the absence or inadequacy of their contribution record in the compulsory protection scheme or due to lack of entitlement to the corresponding allowances of the general social security scheme, cannot benefit from the protection assigned to employees and self-employed.

Social Parental Benefits	Less than 80% of the IAS	Unemployed with less than 80% of the IAS
Social benefit for medical risk during pregnancy	x	
Social benefit for pregnancy interruption	x	
Social parental benefit	x	x
Social adoption benefit	x	x
Social specific risks benefit	x	

6.4.5.2 Calculation of benefit amount

Access is means-tested, as defined in relation to monthly per adult equivalent income of the household, which may not exceed 80% of the value of the IAS (Social Support Index). The adult equivalent calculation is made with the following equivalence scale: first adult = 1; each other adult = 0.7; children = 0.5.

The daily amount of social parental benefit is index-linked to the value of the IAS, corresponding to 80% x 1/30 the value of this index reference (€419,22 in 2012). Social parental benefit is equal to 64% x 1/30 of the value of the IAS in case the beneficiary opted for the 150 days' parental leave. The social benefits for medical risk during the pregnancy, pregnancy interruption and for specific risks correspond to 80% x 1/30 the value of this indexing reference.

6.4.5.3 Tax treatment of benefit and interaction with other benefits

Social benefits are not subject to taxation.

Social benefits cannot be accumulated with unemployment benefits and other social benefits with the exception of Survivor's Pension, Social Insertion Income (formerly minimum guaranteed income) and Solidarity Supplement for Old Persons. During the social parental benefit/social adoption benefit the unemployed insurance is suspended until the term of these benefits.

The duration of these benefits corresponds, in general terms, to that of parental leave scheme paid under the general social security system. (see table above Social Parental Benefits)

7. Childcare for pre-school children

In what concerns children aged 0-2 years old, the fraction of children attending crèches is higher in children with 2 and 1 year old whilst children aged 1 year and less have the higher fraction of children attending childminders.

The coverage rate in childcare (below 3 years old) is 39.5% per cent (2011).

Percentage of children in childcare by age (2008)

Type of Childcare	<1 years	1 years	2 years	3 years*
Creche	16.7	31.3	42.0	3.4
Childminder	1.0	2.2	2.0	0.1

Note:* at age 3 children start the pre-school. However due to schooling calendar some children aged 3 years old stay on crèches for some months.

Although Pre-School Institutions are primarily directed to children aged 3 to 5 years old, children aged 2 years old may enrol in September if they complete 3 years until 31 of December. Priority in access is giving to the most aged children. In what concerns pre-school education the real schooling rate reached 85.7% in the school year 2012/11.

Percentage of children in Pre-school by age (2010/2011)

	3 years	4 years	5 years
Pre-school	75.3%	87.8%	93.4%

Compulsory schooling begins at the age of 6, although children aged 5 years old may enrol in September if they complete 6 years until 31 of December.

7.1 Out-of-pocket childcare fees paid by parents

The rules for fees to be paid for using childcare services provided by public or non-profit organizations (the latter also called IPSS) are the following:

The family fee is determined through a percentage over the *per capita* income of the household as shown in the table below:

Services and equipments	Income tiers					
	1st	2nd	3rd	4th	5th	6th
<i>Crèche, childminder and family crèches</i>	15%	22.5%	27.5%	30%	32,5%	35%
<i>ATL (Free-Time Activity Centres – without meals</i>	5%	7%	10%	12.5%	15%	15%
<i>ATL (Free-Time Activity Centres) – with meals</i>	12.5%	15%	17.5%	20%	22.5%	22.5%
<i>Children's Home</i>	40%	45%	50%	50%	55%	75%

The maximum family fee calculated according to these rules cannot be higher than the real average cost (including administration expenses) per user of the service in question. The estimate of the real average cost amounted to around EUR 345 per month in 2009.

Family fees

Reduction of the family fee:

- 20% reduction in case more than one individual from the same household uses the same establishment;

- 25% reduction in the following cases:
 - When meals are not provided by the establishment or if the user doesn't benefit from it;
 - When justified absent periods exceed 15 days non interpolated.

The institutions may reduce, suspend or excuse the payment of the family fee in special cases in which a careful socio-economic analysis of the household condition concludes that the household cannot afford those fees.

The calculation of the per capita income is made according to the following formula:

$R = (RF - D) / N$, being

R = per capita income

RF = gross monthly household income (sum of all household income/12). The Holidays and Christmas subsidies (i.e. the 2 extra monthly wages – each Portuguese worker usually receives 14 wages during a year of work) are not considered as part of the “gross monthly household income” for this purpose.

D = fixed expenses (these include tax, social contributions, house rent or mortgage payment, average monthly cost related to public transportation, medicine expenses when related to chronic illnesses¹)

N = number of individuals of the household

Per capita income tiers as a percentage of the National Minimum Wage (NMW), used for calculation of the family/user fee:

<i>1st tier</i>	Until 30% of NMW
<i>2nd tier</i>	Between 30% and 50% of NMW
<i>3rd tier</i>	Between 50% and 70% of NMW
<i>4th tier</i>	Between 70% and 100% of NMW
<i>5th tier</i>	Between 100% and 150% of NMW
<i>6th tier</i>	Over 150% of NMW

The family fees are generally annually revised and the amounts are legislated.

Childcare fees for crèches and kindergartens are considered as educational/training expenses for tax purposes. As so, 30% of household educational expenses are tax deductible to the limit of 160% of the NMW. In case the household has 3 or more dependents, this limit is increased by an amount correspondent to 30% of the NMW for each dependent, in case all of them have educational/training expenses.

[Do special fee arrangements apply if children are only attending childcare on a part-time basis?]

¹ These two last expenses (public transport and health) may be subject to a maximum limit, which cannot be less than the NMW.

7.2 **Child-care benefits**

There are no cash benefits received by parents for children in childcare. Nevertheless, indirect support is provided as most childcare institutions (Crèches: non-profitable organizations) receive State Support through Cooperation Agreement and in return they must provide priority in access to children of low income families and comply with the above mentioned rules for family fee calculation. Nannies can also benefit from these arrangements.

In 2011 and 2012, the State supported most non-profitable organizations with a monthly amount of €242.97 per child. Nannies are entitled to a State per child monthly support of €182.28 for the 1st and 2nd children and €204.16 for the 3rd and the 4th. If the nanny has solely one child with disability she receives €364.56 monthly and if the nanny has more than one child with at least one child with disability the per child monthly support increases to €408.31. Additionally, nannies and non-profitable crèches supported by the State receive the family fee according to the family socio-economic conditions as referred above. Childcare fees are not taken into account for social assistance.

7.2.1 *Conditions for receipt*

7.2.2 *Calculation of benefit amount*

7.2.2.1 Calculation of gross benefit

7.2.2.2 Income and earnings disregards

7.2.3 *Tax treatment of benefit and interaction with other benefits*

7.2.4 *Treatment of particular groups*

8. Employment-conditional benefits

For Parental Leave, see point 6.4.4.

Employees, self-employed and some beneficiaries of Voluntary Social Insurance are entitled to the Illness Subsidy, a cash benefit aimed at compensating the loss of earnings due to a temporary unavailability to work, due to sickness. It does not include professional illness which is covered by another insurance scheme.

Regarding the leave for assistance of dependent children, each working parent (employee or Social Voluntary Beneficiary) is entitled to an annual subsidized leave for providing assistance in sickness or due to an accident.

8.1 Conditions for receipt

For the illness subsidy, it is required to have a temporary unavailability to work, due to sickness, certified by the family doctor (or another doctor who is working in his/her behalf) and to have, at least, 6 months registered earnings and the respective social contributions at the moment of sickness.

For the leave for assistance of dependent children, it is required to have, at least, 6 months registered earnings and the respective social contributions at the moment of sickness/accident and a working spouse (if applicable) not requiring the same subsidy.

8.2 Calculation of benefit amount

The illness subsidy amount is a percentage of the reference remuneration. The benefit amount varies according to the duration of the benefit/leave, as shown in the table below.

Benefit duration	Percentage of reference remuneration
Up to 30 days	55%
Between 31 to 90 days	60%
Between 91 to 365 days	70%
Over 365 days	75%

In case of Tuberculosis, the illness benefit has a special formula:

Household composition	Percentage of reference remuneration
Up to 2 dependent persons	80%
More than 2 dependent persons	100%

The leave for assistance of dependent children amount is a 65% of the reference remuneration. If the reference remuneration is very low, there is a minimum daily value of €11.30 (80% x 1/30 x IAS).

8.2.1 Calculation of gross benefit

The daily amount of benefits is paid according to the reference income of the beneficiary in the 6 months of registered earnings before the illness leave. The daily reference income is calculated as follows: $R/180$ in which R corresponds to the total amount of income received (excluding holidays and Christmas bonus) during the first 6 months of the last 8 months prior to the birth and 180 to the number of available days in 6 months.

However, if the beneficiary does not have 6 months of registered earnings before the sickness, the daily amount of benefits are calculated as follows: $R/(30 \times n)$ in which R equals the total amount of income received and n equals the number of months.

The minimum amount of this benefit cannot be less than 30% of the IAS or the reference income if this latter is inferior to the former. The benefit amount cannot be higher than the net income from work. From 1st January 2013 a special contribution of 5% is deducted to the benefit amount for all sickness leaves with duration higher than 30 days.

Illness subsidy amount = Percentage of reference income (see the four situations on the table above) x daily reference income x days of leave (in each situation referred on the table above).

Subsidy amount (for the leave for assistance of dependent children) = 65% x reference remuneration.

8.3 Tax treatment of benefit and interaction with other benefits

The illness subsidy can be accumulated with:

- Subsidies to compensate the holiday and Christmas bonus;
- Social Insertion Income;
- Indemnities for temporary incapability due to professional accidents or illness as long as their value is below the illness subsidy amount;
- Pension paid under professional accidents, professional illness and other schemes concerning compensation/indemnity.

The illness subsidy cannot be accumulated with:

- Invalidity and old age Pension;
- Unemployment Insurance and Unemployment Social Assistance;
- Maternity and Paternity (Parental) Leaves;
- Social Security means-tested benefits, except for SII.

8.4 Benefit duration

For the Illness subsidy the maximum duration is 1,095 days for employees and some Voluntary Social Insurance beneficiaries working on the sea transportation sector, 365 days for self-employed and Voluntary Social Insurance beneficiaries working with a academic research scholarship and without limit for beneficiaries suffering from tuberculosis.

In what concerns the leave for assistance of dependent children and family members, the duration is dependent on who is the beneficiary of the assistance, as shown in table below:

Child age and condition	Maximum annual duration for each parent	Accrual by number of children
Children under 12 years old, with disability or with chronic disease that is hospitalized	No limit	
Children under 12 years old, with disability or with chronic disease	30 days	1 day for each other child
Children over 12 years old	15 days	1 day for each other child

8.5 Treatment of particular group

8.5.1 Young persons

8.5.2 Older workers

8.5.3 Others if applicable

For leave duration under 91 days, a 5% accrual to the percentages is applied on the calculation of the illness subsidy amount for beneficiaries:

- If they the reference income is equal or below €500;
- If they have 3 or more children;
- If they have a child with disability.

9. Lone-parent benefits

There are no specific benefits for lone-parent families. However, several existent benefits have special conditions or benefit amounts for lone-parents (e.g. Family Allowances).

9.1 Conditions for receipt

9.2 Calculation of benefit amount

9.2.1 Calculation of gross benefit

9.2.1.1 Irregular additional payments [NEW ITEM]

9.2.2 Income and earnings disregards

9.3 Tax treatment of benefit and interaction with other benefits

9.4 Benefit duration

9.5 Treatment of particular group

9.5.1 Young persons

9.5.2 Older workers

9.5.3 Others if applicable

10. Tax system

The tax unit is the family. Family income includes the income of any dependent children. Tax is computed on aggregate net income in the various categories of income, *i.e.* after the deductions specific to each category and standard and non-standard reliefs.

10.1 Income tax

10.1.1 Tax allowances and credits

10.1.1.1 Standard allowances

Standard deduction of 72 per cent of 12 times the Social Benefit Index per taxpayer (the 2010 highest monthly minimum wage until the index reaches this value).²If compulsory contributions to social protection schemes and statutory sub-schemes for health care exceed that limit, the deduction will equal the amount of those contributions.

A deduction is provided for the portion of trade union dues not constituting consideration for benefits in the realm of health care, education, assistance for the elderly, housing, insurance or social security, up to 1 per cent of the taxpayer's gross income, increased by 50 per cent. These dues are not taken into account in the modelling.

10.1.1.2 Standard tax credits

Basic credits:

- EUR 261.25 for each unmarried taxpayer or for each spouse;
- EUR 380.00 for a taxpayer in a single-parent family;
- EUR 190.00 for each dependent child; This tax credit is doubled for dependent children whose age does not exceed 3 years old.
- EUR 261.25 for each ascendant whose income does not exceed the minimum pension benefit. When there is only one ascendant, the tax credit is EUR 403.75.

Other tax credits

- Rent paid by a tenant, for his permanent residence under an agreement typified by the law, up to EUR 591. This limit is increased by 10 per cent if the building is duly certified as 'most efficient' in what concerns energy use (categories A or A+). This limit is also increased by 50 per cent for

2. The corresponding amount equals EUR 4 104.00 (72 per cent x 12 x EUR 475.00).

taxpayers in the first two tax rate brackets, by 20 per cent for taxpayers in the third tax rate bracket and by 10 per cent for taxpayers in the fourth tax rate bracket.

10.1.2 *Income tax schedule (central government income tax)*

To determine taxable income, to which the rates listed in the tax schedule are applied, income is divided by 2.

Tax rate schedule (applicable to 2011 income)

Taxable income (EUR) (R)	Marginal tax rate (%) (T)	Amount to deduct (EUR) (K)
Up to 4 898	11.50	---
Over 4 898 up to 7 410	14.00	122.45
Over 7 410 up to 18 375	24.50	900.50
Over 18 375 up to 42 259	35.50	2 921.75
Over 42 259 up to 61 244	38.00	3 978.23
Over 61 244 up to 66 045	41.50	6 121.77
Over 66 045 up to 153 300	43.50	7 442.66
Over 153 300	46.50	12 041.67

In the case of taxpayers whose income stems primarily from dependent employment (earned income), disposable income after application of the tax rates to taxable income may not be less than 120 per cent of the national minimum wage, (EUR 8 148 in 2012), nor may it result in income tax of which the taxable base after application of the conjugal quotient is EUR 1 911 or less.

Surtax:

A surtax was introduced by the 2012 State Budget and is applicable to 2012 and 2013 highest income bracket. The surtax of 2.5% is applicable to taxable income above €153.300. For couples it's above double the difference between half the taxable income and €153.300 ($>2*(TI/2 - €153.300)$).

10.1.3 *State and local income taxes*

10.2 *Treatment of family income*

The tax unit is the family and taxes are paid jointly.

10.3 *Social security contributions and payroll taxes*

Social security contributions are totally deductible if they exceed EUR 4 104.00 per taxpayer, in which case the deduction for the contributions replaces the standard earned income deduction.

Reference date for all information is July 1st 2012

Country chapter for OECD series *Benefits and Wages* (www.oecd.org/els/social/workincentives)

10.3.1 *Contributions payable by employees and benefit recipients*

As a rule, the rate of employee contributions is 11 per cent of gross pay, with no ceiling.

10.3.2 *Contributions payable by employers*

The employer's rate of social security contributions is 23.75 per cent of gross pay, with no ceiling.

10.3.3 *Payroll taxes*

10.4 ***Treatment of particular group***

[for income taxes, social contributions and payroll taxes]

10.4.1 *Young persons*

10.4.2 *Older workers*

10.4.3 *Others if applicable*

[e.g. immigrants, self-employed, sick or disabled, pensioners]

11. Part-time work

11.1 *Special benefit rules for part-time work*

The worker may change from full-time to part-time work for a pre-determined period up to a maximum of 3 years also due to the need to accompany the sons, adopted children or stepson that live with her, during the first 12 years of their lives. In this case only, the period of time spent in part-time work will be taken into consideration as if it was full-time work for the calculation of any benefit under the general regime of the public social security system for private workers.

11.2 *Special tax and social security contribution rules for part-time work*

When changing from full-time to part-time the worker is entitled to a temporary reduction in the workers social contribution rate: from the standard 11% to 6%. This temporary reduction will be effective throughout the period of the part-time work until a maximum of 36 months.

12. Policy developments

12.1 *Policy changes introduced: 2nd July 2011 – 1st July 2012*

For the self-employed workers in economical dependency of self-employed (receiving 80% or more of earnings from a single firm or firms belonging to the entrepreneurship group), a social protection scheme similar to unemployment insurance has been introduced. Due to eligibility conditions and contributory period from the contracting firm is required (two years) the benefits can only be taken-up in the future.

Main changes were introduced on the unemployment insurance (reduced maximum benefit amount, changed benefit duration, reduced qualifying period), on the illness subsidy (reduced replacement rates for the lower durations of the sickness leave, accrual of 5% for beneficiaries with low wages, three or more children or a child with disability), social insertion income (means-test conditions and equivalence scale) and parental leave (excluding the holiday and Christmas bonus from the reference remuneration).

12.2 *Future policy changes announced since 1st July 2012*

From 1st January 2013 onwards under certain conditions (see the respective points above), unemployment and illness benefits will pay a reduced social contribution (6% and 5%, respectively). The IAS will remain constant in 2013.

ANNEX

DEFINITION OF SOCIAL SECURITY CONTRIBUTIONS AND PAYROLL TAXES.

The following text has been adapted from Annex A of the OECD *Revenue Statistics*.

Social security contributions to general government

Classified here are all compulsory payments that confer an entitlement to receive a (contingent) future social benefit. Such payments are usually earmarked to finance social benefits and are often paid to institutions of general government that provide such benefits. However, such earmarking is not part of the definition of social security contributions and is not required for a tax to be classified here. However, conferment of an entitlement is required for a tax to be classified under this heading. So, levies on income or payroll that are earmarked for social security funds but do not confer an entitlement to benefit are excluded from this heading and shown under personal income taxes or taxes on payroll and workforce. Taxes on other bases, such as goods and services, which are earmarked for social security benefits are not shown here [...] because they generally confer no entitlement to social security benefits.

Contributions for the following types of social security benefits would, *inter alia*, be included: unemployment insurance benefits and supplements, accident, injury and sickness benefits, old-age, disability and survivors' pensions, family allowances, reimbursements for medical and hospital expenses or provision of hospital or medical services. Contributions may be levied on both employees and employers.

Social security contributions paid to institutions outside general government

Contributions to social insurance schemes which are not institutions of general government and to other types of insurance schemes, provident funds, pension funds, friendly societies or other saving schemes [are included here if they are compulsory or quasicompulsory (e.g., by virtue of agreement with professional and union organisations)]. Provident funds are arrangements under which the contributions of each employee and of the corresponding employer on his/her behalf are kept in a separate account earning interest and withdrawable under specific circumstances. Pension funds are separately organised schemes negotiated between employees and employers and carry provisions for different contributions and benefits, sometimes more directly tied to salary levels and length of service than under social security schemes.

Payroll taxes

This heading covers taxes paid by employers or employees either as a proportion of payroll or as a fixed amount per person, and which do not confer entitlement to social benefits. Examples of taxes classified here are the United Kingdom national insurance surcharge (introduced in 1977), the Swedish payroll tax (1969-1979), and the Austrian Contribution to the Family Burden Equalisation Fund and Community Tax.